ADDENDUM A: SELLER FINANCE

Seller finance means the Seller lets the Buyer pay off the price over time, instead of all at once on transfer.

This Addendum sets out the extra terms for the sale agreement between

(the Seller)

and

(the Buyer)

for

(the property),

where the Seller finances the purchase on the terms below. The Deed of Sale (signed on the date below) records the purchase price in clause 1.3; that price, less any deposit or extra cash the Buyer pays on or before transfer, is the loan amount, which the Buyer binds himself to repay to the Seller on the terms in this Addendum. Where this Addendum and the Deed of Sale differ, this Addendum applies; and on transfer the mortgage bond in clause 2.2 (the kustingsbrief) is registered against the property in the Seller's favour, together with the transfer.

Deed of Sale signed on:

1. FINANCIAL DETAILS

Loan amount (R)	Amount in words

Interest rate (% per year, fixed)	Loan period (months)	Monthly instalment (R)

First instalment due (date)	Balloon / final amount (R)	Balloon amount due (date)

Loan amount = purchase price (clause 1.3), less the deposit (clause 1.4), less any further cash the Buyer pays on transfer.

2. TERMS OF THE LOAN

2.1 **The loan.** The Seller lends the Buyer the loan amount in Section 1, being the part of the purchase price in clause 1.3 that the Buyer does not pay in cash on transfer. This replaces clause 1.5 and the cash-on-transfer requirement in clause 3.3, and the sale is not subject to any bank bond, so clause 5 of the Deed of Sale does not apply.

2.2 **Security — the kustingsbrief.** On transfer the Buyer becomes the registered owner and, at the same moment, a first mortgage bond (the kustingsbrief) is registered over the property in the Seller's favour for the loan amount plus interest. The attorneys in clause 1.4 register the transfer and this bond simultaneously, and the Buyer pays the cost of registering the bond in addition to the transfer costs in clause 4.2.

2.3 **Interest.** Interest runs on the outstanding balance at the fixed yearly rate in Section 1, from the date of transfer until the loan is paid in full.

2.4 **Repayment.** The Buyer pays the monthly instalment in Section 1 in advance, on the same day of each month, from the first-instalment date, and pays the balloon amount in full on the balloon date. Each

Sellers initial: _____ Buyers initial: _____

payment is applied first to interest, then to the balance.

2.5 **Early settlement.** The Buyer may pay in more than the instalment, or settle the whole balance, at any time without penalty. On full payment the Seller must cancel the bond at the Buyer's cost.

2.6 **While the loan runs.** Until the loan is paid in full the Buyer must keep the property insured for its full replacement value and keep the rates, taxes and levies up to date, as clause 7 already requires, and may not sell the property or register any further bond over it without first settling this loan or obtaining the Seller's written consent.

2.7 **If the Buyer defaults.** If the Buyer fails to pay on time and does not remedy it within 7 (seven) business days of written notice, the whole balance and interest fall due at once and the Seller may enforce this loan and call up the bond under clause 12 of the Deed of Sale, including a sale of the property.

2.8 **National Credit Act.** The Buyer is a juristic person whose asset value and annual turnover each equal or exceed R1 000 000. This loan is therefore excluded from the National Credit Act 34 of 2005 by section 4(1)(a)(i) read with section 7(1) of that Act, and no registration as a credit provider is required.

2.9 **When the loan is paid.** Once the Buyer has paid the loan, interest and costs in full, the Seller must sign everything needed to cancel the bond, at the Buyer's cost, and neither party has any further claim under this Addendum.

3. SIGNATURES

Signed by hand in black ink, as part of and together with the Deed of Sale.

SELLER(S)

Signed at (place) _____ On (date) _____

Seller 1

Signature _____

Full name _____

Seller 2

Signature _____

Full name _____

BUYER(S)

Signed at (place) _____ On (date) _____

Buyer 1

Signature _____

Full name _____

Buyer 2

Signature _____

Full name _____